

Unfortunately, rarely do parents start saving early enough. Many times, they first think about funding their children's college education while the entry applications are being filled out. This reality means that you may have to supplement savings with financial assistance. In the seventies, loans made up 25 percent of government assistance in funding higher education, while grants were the majority. Now loans are about 80 percent or more of the available government assistance.

You will need to apply for loans to make up the difference of what you have available and what you need to pay. This amount should be estimated frugally. You may be eligible for more money than you need. Remember the lesson from Chapter 2: the more money you have, the more you spend. If this pattern holds true for student loans, you may be tempted to borrow too much and spend it on things totally unrelated to school.

Michael had always wanted to attend an Ivy League school, so when he got his acceptance notice from Harvard, he was elated. Even though its tuition was very high, Michael believed that a degree from this prestigious school was well worth the expense. Since his parents couldn't afford to help him pay for the tuition costs, Michael, who had just turned eighteen, had to rely on student loans and a scholarship to foot the bill.

During his freshman semester, the school recorded his student loan and scholarship disbursements electronically in his university account. After the school debited his account to cover tuition, room and board, and other fees, the amount left over was given back to Michael. This amount should have been earmarked for future educational expenses. Instead, Michael considered this money his own private funds to pay for any personal (noneducational) expenses, which might come his way.

These personal funds turned out to be for expenses like drinks for his buddies at the local bar, road trips during the weekends,

